

THINGS TO KNOW

FOCUS ON PRICE AND VOLUME

Technical analysis is the study of demand and supply of an asset. We want to own assets that are high in demand and low in supply and want to sell assets that have lower demand and higher supply. Price and volume are the best representatives to understand demand and supply of an asset and therefore, technical analysis in a way becomes a study of price and volume of an asset.



MORE BUYERS
High Demand

High Demand leads to
increase in price & volume



LESS SELLERS
Low Supply

WANT TO OWN THE ASSET



LESS BUYERS
Low Demand

Low demand leads to
decrease in price & volume



MORE SELLERS
High Supply

WANT TO SELL THE ASSET